



Product

The goods and services a company sells are its product. A product can be defined in terms of features, design, size, packaging, service type, return policies, and warranties, together intended to meet the customer's needs.

How it works

Consumers can be said to buy benefits rather than products. For the marketer, the product itself is that benefit to the consumer, as packaged and presented.

Marketers identify the goods and services they sell in three or five product levels, with the benefit at the core. The marketer's job is to translate and communicate each product level as an offer to the consumer.

Total product concept: three product levels

From a marketer's perspective, a product is more than the end commodity bought by a customer. It is a total product concept with several layers of benefit, and these must be conveyed to the consumer.

Actual product

Packaging, brand name, quality level, design, and additional features that set it apart from rival products

Augmented product

Additional benefits, such as delivery and credit, warranty, after-sales service

Core product

Product's basic function and its core benefit to consumer

